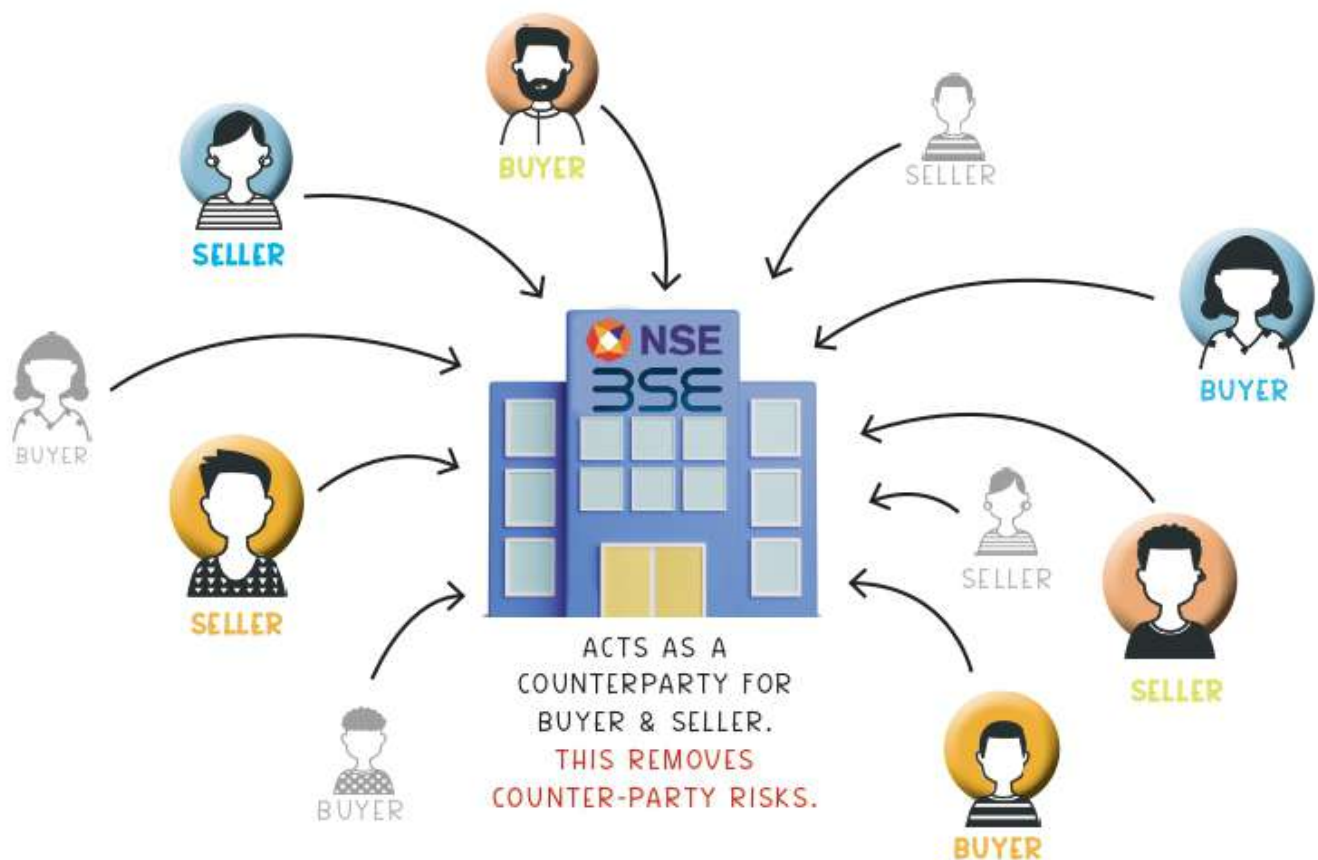


The seller and buyer do not have a contract with each other but with the exchange. They do not even know of each other's existence. The exchange, in a futures contract, acts as a counterparty to every buyer and seller.



So, even if you want to exit the contract at any point, you can do so with the exchange.

For instance, if you entered the contract as a buyer, to square it off you may simply sell the contract and exit from this obligation. You can do this by simply selling them using your trading account with the broker. You do not have to go and find another counterparty.



Future contracts are completely financial in nature. They do not involve any physical assets. They are settled by paying the difference itself. There is no involvement of actual delivery of assets.